

Preface to the First Edition

When I was a little tyke, I decided the easiest way to riches was to play the stock market. It was, after all, a level playing field, a negative-sum game with somebody winning and somebody losing. (*Hint:* The winner is always the broker.) All one had to do to win was pick stocks that went up and avoid stocks that went down. Easy.

I kept this in mind when I graduated from Syracuse University with an engineering degree and showed up early for my first professional job. Each morning I cracked open the newspaper and plotted my stock picks on a piece of graph paper taped to the wall. Bob, my office mate, used the same newspaper to select his stocks. I chose my selections after exhausting fundamental research, but Bob simply closed his eyes, twirled his hand around, and plunged his finger into the newspaper. When he opened his eyes and removed his finger, he announced another pick.

After several months of tracking both our selections, I made a startling discovery: I was getting creamed. Bob's random selections were beating the tar out of my carefully researched choices. I also discovered something else: I was learning a lot by paper trading.

With the hesitancy and distrust inherited from my parents, I studied two dozen firms before making my final selection and first purchase: I opened a money market account. The timing was excellent; I was earning over 17% on my cash. At first glance, the return might imply a very risky investment, but it was not. The prime rate was, after all, at 21%.

Flush with success, I gathered my courage and opened a brokerage account and began investing the few pennies I saved. Again, the timing was excellent as I caught the beginning of a major bull market. I bought a stock at a split-adjusted price of 88 cents and watched it go to \$30 and change.

Lest you think that everything was easy, consider what happened. My stock portfolio was growing by leaps and bounds, but my professional career was about to take a turn for the worse. After switching careers more often than I sometimes like to admit, I landed a job with a company I could finally call home—a job that would last a lifetime, or so I hoped. Almost 6 months